Middle East conflict tilts aluminium risks further to the upside

The escalation of conflict in the Middle East increases upside risks to aluminium prices and physical premiums. The key issue is no longer whether the Strait of Hormuz is at risk, but how long disruptions last

Aluminium prices are tilted to the upside with the Middle East conflict

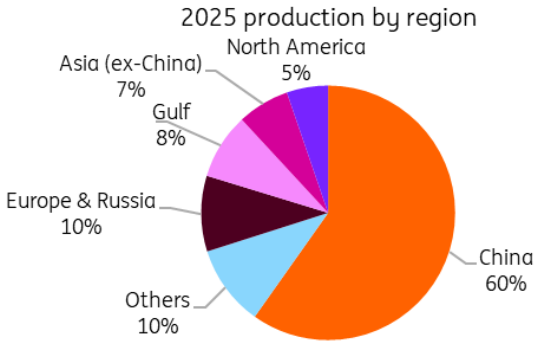
US Israeli airstrikes over the weekend killed Iran's Supreme Leader, Ayatollah Ali Khamenei. Iran has since retaliated across the region. The immediate consequence has been disruption to energy and industrial activity, with shipping through the Strait of Hormuz now clearly impaired.

Early signs of the impact are already visible. Qatalum, jointly owned by Qatar's state-owned aluminium producer and Norsk Hydro, started a controlled shutdown of output on Tuesday and said a full restart could take six to twelve months. Hydro also has issued a force majeure notice to its Qatalum customers. Qatalum has a nameplate primary aluminium capacity of 636kt.

Aluminium had earlier surged as much as 3.8% to $3,315/t after QatarEnergy said it halted the production of aluminium and some chemicals following Iranian attacks that forced the shutdown of its major LNG plant.

Meanwhile, Emirates Global Aluminium, the UAE's top producer, has flagged the use of offshore inventories to manage loading delays.

Gulf supplies around 8% of global aluminium



Source: IAI, ING Research
Gulf includes Bahrain, Oman, Qatar, Saudi Arabia, UAE

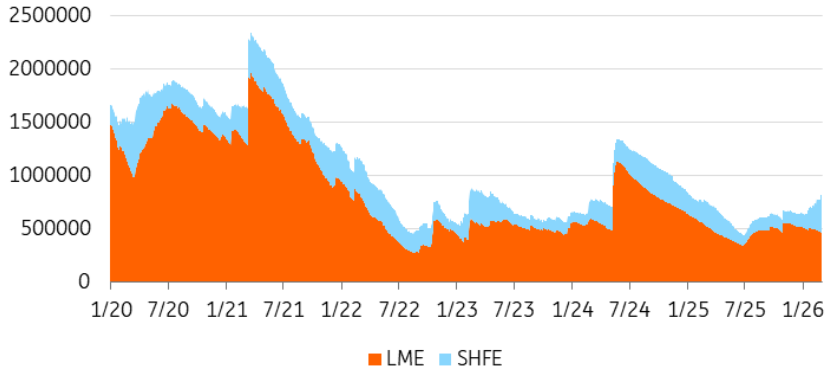
Structurally, the region is vulnerable. The Gulf Cooperation Council (which includes Bahrain, Oman, Qatar, Saudi Arabia, UAE) accounts for around 8% of global aluminium output. Yet the region produces only around 3% of global alumina and around 1% of bauxite, leaving smelters heavily reliant on imported raw materials. Alumina's limited storability further reduces resilience. While smelters typically hold around three to four weeks of alumina inventories – allowing them to absorb short disruptions – prolonged constraints would quickly translate into production risk.

Extended disruption in the Strait would simultaneously choke alumina inflows and aluminium exports for Middle Eastern smelters. That would tighten global supply meaningfully.

Europe is particularly exposed – the region accounts for around 30% of its aluminium imports, dominated by the UAE, leaving European premiums especially sensitive given already tight primary availability. The US is also exposed, with the region supplying over 20% of imports, though tariff inflated Midwest premiums limit immediate upside.

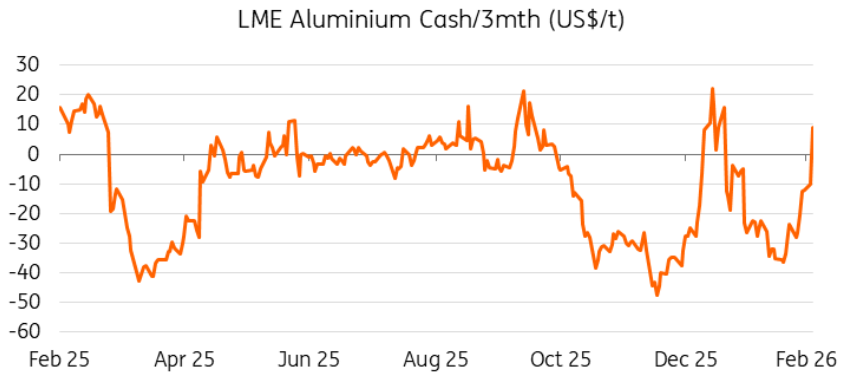
This shock hits a market that was already tight – a view we have consistently held on aluminium. Prior to the conflict, our aluminium balance showed a deficit of around 600kt in 2026. China's capacity cap, trade dislocations and the imminent shutdown of Mozal were already constraining supply. Physical signals had been firming even before the conflict – LME inventories have been drawing since late last year, premiums are elevated, and the cash–3m spread has tightened. On Tuesday, orders for LME warehouse metal jumped to their highest level since September, centred on Malaysian material.

LME inventories continue to draw



Source: LME, SHFE, ING Research

LME cash–3m spread is tightening



Source: LME, ING Research

Higher energy prices add another layer of upside risk via cost curves. The main offsetting risk is demand – a prolonged conflict could eventually weigh on industrial activity and trigger some demand destruction. For metals more broadly, this creates a tension between geopolitical risk premia and weaker end use demand.

For aluminium specifically, however, the balance of risks are skewed higher, particularly if Hormuz disruption proves more than transitory. Duration, rather than escalation alone, will determine how far prices and premiums ultimately move.

We remain bullish on aluminium as supply tightens, with China's capacity cap, the Mozal shutdown, stalled restarts in Europe and the US, and Middle East disruptions all reinforcing market tightness.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("**ING**") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.